Newsletter (15) – Bridgewater Associates

(1) Introduction

Bridgewater Associates is making headlines again. After several years of mixed performance, its Pure Alpha flagship fund has delivered one of the strongest performances in the industry, recording a 26% year-to-date gain in 2025 and outperforming most major hedge funds. In today's newsletter we explore the firm's origins, the principles and structure that defined its dominance, the changes it went through in recent years, and whether today's results can mark the beginning of a comeback for the world's most influential macro hedge fund.

(2) Ray Dalio and The Foundation of Bridgewater

Ray Dalio's fascination with financial markets began at an early age. Growing up in Long Island as the son of a jazz musician, Dalio was drawn to independent thinking and experimentation. At just 12 years old, while caddying at a local golf club, Dalio overheard a stock tip from a group of Wall Street professionals and bought shares of Northeast Airlines. This trade would triple his investment and hook him into a life long pursuit: understanding why markets move. After obtaining a finance degree and an MBA from Harvard Business School, Dalio broke into Wall Street himself in the early 1970s.

The Nixon shock of 1971, when the US abandoned the gold standard, marked his first major lesson. Expecting chaos, he watched markets rise instead – a pivotal moment that taught him to study cause-and-effect relationships in history, not just headlines. This analytical mindset became central to his philosophy of understanding markets as interconnected systems governed by human behavior and policy decisions. Guided by this belief, Dalio founded Bridgewater Associates in 1975 from his two-bedroom apartment in New York – first operating as an advisory business focusing on currency and interest rate risks. One of its first major successes came when Bridgewater advised McDonald's on a grain hedging strategy for its Chicken McNuggets. Because the price of chicken was heavily influenced by grain feed costs, the firm designed a hedging model that allowed McDonald's suppliers to maintain stable prices without being exposed to volatile commodity markets. However, the firm also faced setbacks: By the early 1980s, Dalio mispredicted a heavy U.S. recession. This led to clients' withdrawals, layoffs, and significant losses. The firm was reduced to a handful of employees and Dalio was forced to borrow $4,000 from his father to keep the firm afloat. This failure became formative, leading to Dalio's principle of "Pain + Reflection = Progress". Instead of seeing failure as something to avoid, he describes it as a valuable challenge to embrace. For him, failure is a pure result of pushing limits and maximizing potential.

At the same time, Dalio also codified his management principles into a culture of radical transparency and "idea meritocracy," where every employee was expected to challenge and debate ideas openly, regardless of seniority. Meetings were recorded, feedback was constant, and mistakes were dissected publicly to ensure learning. Though demanding, this culture of truth-seeking and accountability became central to Bridgewater's identity and its long-term performance.

(3) Bridgewater at its Peak: Inside the World's Leading Macro Fund

Following its setbacks in the 1980s, Bridgewater emerged as a full-scale global macro hedge fund. In the 1990s, this system produced two defining strategies: Pure Alpha and All Weather – essentially two investment approaches capturing different sources of returns.

Together, they quantified Bridgewater's belief that markets can be understood through cause-and-effect and managed through balance and diversification.
Pure Alpha was initiated in 1991 to generate returns independent of overall market direction, separating alpha from beta. The fund applies Bridgewater's macro strategy across currencies, interest rate markets, commodities, and equities. Every position is built from a causal macroeconomic hypothesis – how growth, inflation, and policy interact with each other – and back-tested on decades of data prior to implementation. The result is a portfolio consisting of numerous risk-balanced positions whose correlations are actively maintained at low levels. The structure gives rise to consistent risk-adjusted returns rather than directional exposure. Pure Alpha in practice performs best when macro dispersion is high: During the 2008 financial crisis, for example, the fund returned 9 percent as its holdings in sovereign bonds and commodities benefited from liquidity shocks and policy responses, even when global equities fell more than 40 percent. That same model, however, was less effective in the 2010s, when central-bank policy suppressed volatility and compressed opportunity. Pure Alpha's strength has always depended on dispersion of macro cycles across economies – the precise environment which re-emerged in 2025.
After establishing Pure Alpha to focus on exploiting short-term macro inefficiencies, Dalio launched All Weather in 1996, designed to transform Bridgewater's economic logic into a strategy withstanding any macro environment. The mechanism behind it is a risk parity approach, distributing portfolio risk equally among assets thriving during different phases of the economic cycle. Equities benefit from rising growth, nominal bonds from disinflation, commodities and inflation-linked securities from reflation, and cash from contraction. Equalizing exposures so no asset overwhelms aggregate volatility, All Weather aims for long-term compounding without forecasting. The fund has generated moderate returns since its launch, while suffering drawdowns much less harsh compared to the average 60/40 portfolios. During the 2008 crisis, All Weather's diversified composition preserved capital, confirming the thesis that risk-based diversification, instead of by asset class, is best during financial crises and drawdown.

(4) Modernizing a Macro Giant

After a strong performance in the 2000s, Bridgewater's core strategies started facing structural differences. The All Weather Fund, long supported by falling interest rates and steady disinflation, lost its consistent performance when inflation spiked in 2021 and yields rose sharply. Between 2014 and 2023, it gained about 43%, while a simple 60/40 portfolio rose 90%, according to Bloomberg. All Weather's strong reliance on bonds led to stagnating returns, instead of balancing the fund; 2022 then marked one of the weakest years with a 13% loss in Q4. Simultaneously, Bridgewater's culture underwent a change and began to slow. The radical transparency slowly turned into increasing bureaucracy with Dalio stepping back from management. This combination of low macro dispersion and period of change heavily affected Bridgewater.
Nir Bar Dea, former platoon leader at the IDF, took over as CEO in 2022, outlining plans for transformation: The firm reduced complexity, shortened decision cycles, and rebuilt its research process, focusing on pace and positioning. The objective was not to change or replace Dalio's principles but to apply them to today's modern conditions of high debt, fiscal pressure, and fragmented policy. Dalio himself is constantly warning that rising leverage, inflation, and political polarization resemble late-cycle dynamics from past debt crises. Bridgewater's current positioning – closer attention to debt sustainability, policy divergence,

and currency risk – reflects that same reading of the global cycle. As markets moved from uniformity to dispersion, the firm's systematic approach regained its edge: In 2025, Pure Alpha had its largest gain in a decade, returning 26% year-to-date, benefiting from renewed policy divergence and volatility across rates, currencies, and commodities. The firm's framework once again proved most effective when economic cycles moved out of sync.
Looking ahead, Bridgewater's stance remains cautious. Fiscal strain, policy fragmentation, and geopolitical tension will keep volatility high, an environment suited to its systematic macro style. The challenge now is to maintain this performance and adaptability without the founder who built the machine.

(5) Conclusion

Bridgewater's rise from a small advisory firm to the world's largest hedge fund was the result of a single unifying idea: economies move in cycles governed by cause and effect, and understanding those cycles can be systematized. Ray Dalio built the firm around this conviction, and brought it to the top of the industry, combining it with his unique culture of radical meritocracy.
Over time, that system was tested. A decade of synchronized policy and reduced volatility weakened the dispersion that had powered its success. The strong performance in 2025 highlights how Bridgewater exploits these economic cycles once again and extracts industry-defining returns from them. Its challenge now is to preserve that adaptability as market conditions change once again.